

Partners,

For the first half of 2026, Blue Outlier Capital earned a net return of 13.06%, compared to 10.09% for the SPY (S&P 500), and 22.56% for the IWM (Russell 2000).

Since Inception January 13, 2023 – June 30, 2026			
Year	Blue Outlier (Gross/Net)	SPY	IWM
2023	70.88% / 57.21%	21.57%	9.63%
2024	57.56% / 46.05%	24.89%	11.39%
2025	-6.48% / -6.48%	17.72%	12.66%
2026	14.59% / 13.06%	10.09%	22.56%
Cum.	188.53% / 142.77%	96.77%	68.61%

Our value-centric approach has often kept us from owning high-quality companies in richly valued sectors due to a lack of the margin of safety and asymmetry that I typically seek. This year, however, the overwhelming focus of the market on AI — and the corresponding neglect of almost everything else — has created opportunities for us to initiate positions in several companies I have long followed and admired but could not previously justify due to valuation. Many of these businesses have experienced severe multiple contraction as the market has categorized them as inevitable AI losers when the reality is far more nuanced.

There are still so many foundational questions unanswered with AI that make it difficult to have a high degree of confidence in how this evolves. Whether AI is ultimately distributed from centralized LLM providers or more open-source models is a key question to how quickly this is commoditized and what future monetization opportunities look like. I'm more confident on AI being a greater positive force in more traditional businesses from margin-boosting efficiency gains compared to what the market is currently rewarding as AI winners.

Positions positively impacting our performance were:

- **ServiceTitan (TTAN):** ServiceTitan is the standard operating system for the blue-collar trades, serving as the backbone for lead generation, call booking, scheduling, estimates, payments, financing, inventory, customer management, and more. They're quickly becoming the agentic AI provider to these businesses, automating workflows and reducing the need for back-office employees.

ServiceTitan provides the deepest data insights and AI tools in the industry, which has helped them become the leading software provider to PE-backed companies focused on roll-ups. Consolidation in the trades is a secular force that they will benefit from long term as they grow alongside their industry-consolidating customers.

Commercial customers using ServiceTitan increase their net profit margins by an average of 2% per year, see 8% more projects delivered on time, collect payments 12 days faster than peers, and achieve an average of 15% revenue growth after 2 years of implementation. Being such a positive force for their customers has led to fierce loyalty, as evidenced by their industry-leading net dollar retention rate of over 110%.

The platform is inherently sticky for customers because implementation stretches across every level and workflow of the organization, and from the need to retrain all in-field service technicians should a customer switch their software provider. I believe AI solutions will make this stickiness even greater, providing a huge first-mover advantage for ServiceTitan as they become the leading agentic AI provider to the trades. Whereas LLMs may eventually become commoditized, these are the value driving solutions that replace labor and drive accelerating operating results that lead to monetization success.

Their strategy has been to focus on dominating one trade at a time before moving on to adjacent trades, so despite being leaders in their verticals, they still have a lot of growth opportunities ahead of them in both current and future markets. They currently offer products for end markets totaling ~\$650B in annual revenue, with current customers representing ~\$86B of this, but management believes their ultimate opportunity is ~\$1.5T in the U.S. and Canada alone.

They're still heavily in development chasing these opportunities, spending 31.7% of revenues on R&D in the last twelve months. The company is using internal software development AI tools to accelerate expansion into new areas with greater velocity. Along with supporting faster growth, these AI tools should help achieve greater efficiency with their R&D spend. Management has outlined long-term operating margins of 25%, which assumes 20-22% will continue being spent on R&D. I expect with AI efficiency gains that this can eventually be revised lower alongside SG&A and that operating margins as a mature business will be 30% or greater.

We purchased ServiceTitan at ~5x sales, far below the 10-13x the company has historically commanded as a public company. With expectations for long-term operating margins of 30% and revenue growth above 20% a year for the foreseeable future, it was a valuation that I could begin to justify for what I regard as such a high-quality company.

- **GEO Group (GEO):** Our position size in GEO has fluctuated with the rollercoaster of news flow as I reacted to the changing facts and probabilities. In February, a Department of Homeland Security (DHS) memo was published by the Governor of New Hampshire that detailed their 'ICE Detention Reengineering Initiative'. This memo spelled out DHS's plan to acquire warehouse space and convert it to detention capacity. While this was always expected to some extent to meet the peak detention needs for the Trump Administration's initiatives, this memo revealed a much wider scale than was previously expected and that the ultimate goal was to permanently replace the private prison contractors with these converted warehouses.

The plan would have been enormously wasteful, costing over \$400K per detention bed for much less suitable facilities compared to the current ones in operation. The plan also faced stiff local resistance and infrastructure hurdles, with many of the planned sites lacking the sewage and water capacity to support a detention population. While the stock understandably sold off after this news broke, common sense thankfully prevailed as the plan was shelved after Secretary Noem was fired.

DHS was allocated \$45B specifically for detention in the One Big Beautiful Bill. Although the warehouse plan was shelved, DHS has shown a continued desire to use these funds to acquire ownership of their detention space. Just this month, CoreCivic announced that they were selling two facilities to ICE for ~\$1.5B, or ~\$320k per bed, and will remain managing the facilities. They also said that additional facility sales are likely.

GEO has an even greater DHS exposure than CoreCivic, with just over 30K detention beds that are either company-owned and currently utilized by ICE (~24K) or that are owned and idle (~6K). GEO owns ~47K beds in all, composed of ~41.5K in secure facilities and ~5.5K in reentry facilities. Management announced on the last earnings call that they were also in discussions about selling facilities to DHS and estimated that a deal would be finalized by the end of Q2, indicating that announcements soon are likely.

GEO has previously estimated their net asset value at ~\$45/share when valuing each detention bed at \$125K. Revaluing these per bed estimates to even \$200K-250K results in a per share asset value range of ~\$70-90. Although much of this value was unlikely to ever be unlocked being trapped in illiquid real estate, the current acquisition spree from DHS is a game changer. These businesses are transitioning to a higher-margin, more asset-light facility management model and are having an enormous liquidation event in the process.

- **Hallador Energy (HNRG):** Hallador announced a transformational 12-year capacity purchase agreement worth ~\$1B, at prices higher than the previous capacity agreement signed in March. This agreement starts ramping up in 2028 and represents ~2/3 of their accredited capacity from 2029-2040. The deal is with NIPSCO (Northern Indiana Public Service Company), which is using the capacity as a pooled resource to serve data centers currently under construction for Amazon, Google, and others.

Following the closing of this deal, Hallador announced an agreement to purchase 460 MW of never-fired Siemens turbines and related power generation equipment from an Australian company for a total cost of \$350M, plus ~\$100M in insurance, refurbishment, and shipping. The company plans to use the equipment to build their planned natural gas generating unit at their Merom plant. The ~\$450M total purchase price represents over half the anticipated cost of the project, indicating that they expect to complete construction of the 460 MW generating unit for less than \$900M utilizing the site's existing infrastructure. This is a significantly lower cost than comparable greenfield projects and can be completed in less than half the time.

The project is currently under review through MISO's Expedited Resource Addition Study (ERAS) process, which is expected to be completed in September when a final investment decision on the project will be made.

A final positive development this quarter was that the company was selected by the Department of Energy to begin award negotiations on up to \$27.2M in potential federal grants to go toward the modernization of the Merom plant. With a total project cost estimated at \$56.9M, the grant would cover up to ~48% of the modernization project.

Despite all these positive developments, the stock hasn't responded. I can only attribute this to fears about potential dilution related to the financing of the power generation equipment. Payments come quickly, beginning in June and with the entire \$350M due by the end of September.

I do not believe it was a coincidence that Hallador entered into the turbine agreement shortly after signing the long-term capacity agreement. Hallador is set to receive ~\$84M-\$95M in capacity payments annually from 2029 to 2040 even before they sell the remaining 1/3 of their accredited capacity. Total fixed costs at the Merom plant are ~\$60M a year. Even before they produce any power or sell their remaining capacity, the plant is profitable. With a net cash position, no bank debt, and long-term contracts in hand, financing should be available for the company without significant equity dilution.

- Also contributing to our performance were: **AGM, CVCO, HRI, DHR, FLR, GD, HCA, PRKS, THC, MOH, ABT, CPNG, NU, TSCO, TW, VEEV**, and a basket of other small positions.

Positions negatively impacting our performance were:

- **SPGI, ICE, KBR, CBOE, CME, LDOS, NOC, SYK, TM**, and a basket of other small positions.

This has been a momentum-driven market environment that seems to have finally forced some of the last of the value investors to throw in the towel on their process. A similar thing occurred during the dot com bubble, a period with similarly narrowly concentrated winners while the rest of the market that was unrelated to the hot theme struggled. This was also similarly a period when many legendary value investors closed shop or changed their strategy, just as a multi-year period of outperformance for value strategies occurred following the dot com collapse. Maybe it's my required optimism as a value investor, but the environment seems ripe for value strategies to outperform just as everyone crowds the other side of the ship.

Our portfolio is currently filled with a more diverse range of high-quality companies than at any time before. Although we have some direct AI-themed exposure through the independent power producers that I find most attractive on a risk-adjusted basis, we're positioned to benefit from

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market broadening. While the focus of the market has been on AI, I continue to find high-quality opportunities away from the hottest sectors.

Thank you for your continued trust,

Ryan Rahinsky

July 16, 2026

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